

Amendment No. 1 to HB0528

Farmer
Signature of Sponsor

AMEND Senate Bill No. 464

House Bill No. 528*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 40-11-151, is amended by deleting the section and substituting:

Any person utilizing the services of a professional bail bondsman or bonding agent must receive a copy of the following notice with the person's bail bond. Changes must not be made in the substance of the notice, but minor printing adjustments may be made. The notice may be printed on the face, back, or as a separate attachment to the bond.

NOTICE IF YOU USE A PROFESSIONAL BONDSMAN:

Amount of Charges to You. If you are a Tennessee resident, the premium fee for your bond should be ten percent (10%) of the face amount of your bond. For example, if your bond is \$2,500, then the premium on the bond should not be more or less than \$250. If you are not a Tennessee resident, then the amount of the bond should not be more than fifteen percent (15%) or less than ten percent (10%) of the face amount of your bond. For example, if your bond is \$2,500, then the premium on the bond should not be more than \$375 or less than \$250. In addition to this amount, the law also permits a one-time \$25 initiation fee (T.C.A. § 40-11-316) and the professional bondsman may collect a \$12 bail tax (T.C.A. § 67-4-806).

Insist on a Receipt. The law (T.C.A. § 40-11-304) requires a bail bondsman to keep a duplicate receipt. The receipt must show the name of the person paying money or

pledging property, the name of the person for whom it was paid, the account or purpose for which it is received, and the suit, action, or matter in which the money is paid.

Collateral That Can Be Required. If a bondsman insists on collateral in addition to the premium fee, then you may wish to talk to another bondsman. However, a bondsman may accept collateral, and if the bondsman accepts collateral, then the bondsman must give you a written receipt for the collateral, and the receipt shall give in detail a full description of the collateral received and the terms of redemption as required by T.C.A. § 40-11-126(8).

A BONDSMAN MAY NOT LOCK YOU BACK UP OR SURRENDER YOU ARBITRARILY OR WITHOUT GOOD CAUSE. GOOD CAUSE MAY INCLUDE YOUR FAILURE TO PERFORM YOUR OBLIGATIONS UNDER THE CONTRACT YOU HAVE WITH YOUR BONDSMAN (T.C.A. § 40-11-126(7) & § 40-11-132).

SECTION 2. Tennessee Code Annotated, Subsection 40-11-316(a), is amended by deleting the language "not assess more than ten percent (10%)" and substituting "assess ten percent (10%)".

SECTION 3. Tennessee Code Annotated, Section 40-11-316(c), is amended by deleting the language "up to fifteen percent (15%) of the amount of the face value of the bond" and substituting "no less than ten percent (10%) and no more than fifteen percent (15%) of the amount of the face value of the bond".

SECTION 4. Tennessee Code Annotated, Section 40-11-316(d), is amended by deleting the subsection and substituting:

(d) A professional bondsman or an agent of an insurance company making appearance bonds of a criminal nature may agree to accept the premiums and initiation fees, set forth in subsections (a), (b), and (c), in equal installments if:

(1) Interest or other fees, with the exception of transaction fees paid to third parties as costs for processing payments, are not charged for the installment payments;

(2) The professional bondsman collects no less than fifty percent (50%) of the premium due at the time the bond is signed; and

(3) The full amount of the premium is to be paid during the first twelve (12) months of the bond.

SECTION 5. This act takes effect July 1, 2025, the public welfare requiring it.